

Consumer Electronics

Digital Services

Wearables & Health

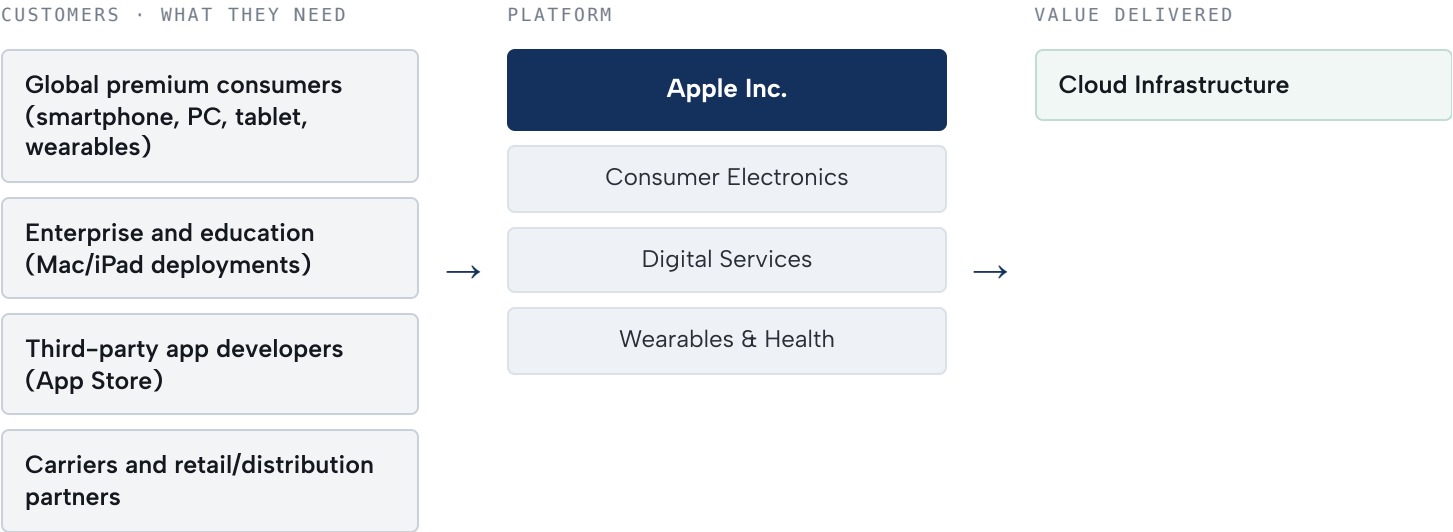
Digital Payments

MARKET CAP \$4.6T 2026-06-03 close	EV / REVENUE 10.1x LTM · 2026-06-03 close	SHARE PRICE \$310.26 2026-06-03 close
REVENUE \$111.2B +17% YoY	GROSS MARGIN 49.3% vs 47.1% year-ago	

BUSINESS OVERVIEW

- Apple (NASDAQ: AAPL) is the world's largest consumer-devices company by revenue and the largest of the mega-cap trio at ~\$4.6T market cap (2026-06-03 close).
- FQ2 2026 (ended Mar 28, 2026) set a record March quarter: revenue \$111.2B (+17% YoY), EPS \$2.01 (+22%), gross margin 49.3% (up from 47.1%).
- All five product categories and all five geographies grew, led by 'off the charts' iPhone 17 demand.
- Services hit an all-time record \$31.0B (+16.3%), ~28% of revenue and the key gross-margin driver.
- Greater China rebounded sharply to \$20.5B (+28%) on iPhone 17 strength and local subsidies.
- Historic leadership transition: Tim Cook becomes Executive Chair and John Ternus becomes CEO effective Sept 1, 2026.
- AI is the catch-up story: a ~\$1B/year Google Gemini deal will power a revamped Siri (Phase 1 iOS 26.5, fuller version iOS 27).
- Forward margin watch: management flagged 'significantly higher' memory costs as suppliers redirect capacity to AI chips.

How the business works, left to right: who buys, what the platform provides, and the payoff.



EXECUTIVE LEADERSHIP

CEO (BECOMES EXECUTIVE CHAIR EFFECTIVE SEPT 1, 2026) SINCE 2011

Tim Cook

CEO since 2011. On April 20, 2026 Apple announced Cook, 65, will become Executive Chair on Sept 1, 2026, remaining involved in strategy, policy and oversight while John Ternus becomes CEO.

INCOMING CEO (EFFECTIVE SEPT 1, 2026); CURRENTLY SVP HARDWARE ENGINEERING SINCE 2026 (CEO); JOINED APPLE 2001

John Ternus

Joined Apple in 2001; has led Hardware Engineering since 2021 (iPhone, iPad, Mac, Apple silicon). Named CEO and board member effective Sept 1, 2026 after a long-term succession process.

SVP & CHIEF FINANCIAL OFFICER SINCE 2025

Kevan Parekh

Became CFO Jan 1, 2025, succeeding Luca Maestri. Joined Apple in 2013; led financial planning and business planning. Continues as CFO under the new leadership structure.

CHAIR OF THE BOARD (BECOMES LEAD INDEPENDENT DIRECTOR SEPT 1, 2026) SINCE 2011 (CHAIR)

Arthur (Art) Levinson

Chairman of Apple's board; transitions to Lead Independent Director when Cook assumes the Executive Chair role on Sept 1, 2026.

PRODUCT & REVENUE MODEL

- iPhone (~51% of revenue, \$57.0B in FQ2'26, +21.7%) anchors premium hardware alongside Mac, iPad and Wearables/Home/Accessories.
- The Services layer (\$31.0B, +16.3%, all-time record) spans App Store, AppleCare, advertising, cloud, payments and subscriptions, carrying far higher gross margins and driving total company gross margin to 49.3%. A record active-device installed base provides a recurring-revenue flywheel.

- Hardware is contract-manufactured (Foxconn, Pegatron), with assembly shifting toward India and Vietnam; processors are fabricated exclusively by TSMC.

RECENT NEWS

2026-04-20

Apple names John Ternus CEO; Tim Cook to become Executive Chair effective Sept 1, 2026SOURCE: **CNBC**

The most significant leadership transition in Apple's modern history. Hardware chief Ternus succeeds Cook, who stays on as Executive Chair over strategy and policy. Signals continuity in product/operations focus; Art Levinson moves to Lead Independent Director.

2026-04-30

Apple posts record March quarter: \$111.2B revenue (+17%), Services all-time record \$31B, EPS \$2.01SOURCE: **CNBC**

Beat consensus on extraordinary iPhone 17 demand and record Services. Gross margin rose to 49.3% from 47.1%. Guided June-quarter revenue up 14-17% YoY, but flagged 'significantly higher' memory costs ahead.

2026-04-30

Cook: iPhone 17 demand 'off the charts' but supply constraints capped salesSOURCE: **9TO5MAC**

An AI-driven memory shortage and tight TSMC advanced-node capacity constrained iPhone 17 supply, leaving demand on the table. Management warned memory costs will rise materially, a key FY26 margin watch item.

2026-04-22

Google confirms Gemini-powered Siri on track for later in 2026SOURCE: **MACRUMORS**

After repeated Siri/Apple Intelligence delays, Apple's ~\$1B/year deal to run a revamped Siri on Gemini (via Private Cloud Compute) is its answer to a perceived AI lag. Phase 1 ships in iOS 26.5; fuller Siri targeted for iOS 27.

2026-01-12

Apple picks Google Gemini to power AI Siri; deal to extend beyond Siri into Apple IntelligenceSOURCE: **CNBC**

A strategic admission that Apple's in-house models weren't ready. Outsourcing foundational AI to a rival for ~\$1B/year reshapes the competitive landscape and raises questions about Apple's long-term model independence.

- 2026-01-01

Apple overhauls EU App Store fees again to comply with DMA: 5% Core Technology Commission

SOURCE: **MACRUMORS**

A single EU model with a 5% Core Technology Commission on digital goods and dropped fees for free apps. Developers argue it still flouts the DMA; follows a EUR500M EU fine, keeping App Store economics a regulatory and revenue risk.
- 2026-04-30

Greater China revenue +28% YoY to \$20.5B on iPhone 17 strength and subsidies

SOURCE: **CNBC**

A sharp turnaround in Apple's most-watched geography. iPhone shipments in China rose ~20% in calendar Q1 2026, aided by subsidies and discounting, easing a key bear-case overhang.
- 2025-08-06

Trump tariffs hit Apple's India iPhone plan; India duties raised to 50%, plus 25% threat on non-US iPhones

SOURCE: **APPLEINSIDER**

India is now Apple's #1 iPhone manufacturing country and central to China diversification. A 50% US tariff on Indian goods plus the threatened 25% iPhone tariff directly pressure supply-chain economics.

FINANCIALS & KEY METRICS

FQ2 2026 (ended March 28, 2026); most recent reported · 2026-04-30

REVENUE \$111.2B +17% YoY	I PHONE \$57.0B +21.7% YoY	SERVICES \$31.0B +16.3% YoY	MAC \$8.4B +5.7% YoY
IPAD \$6.9B +8.0% YoY	WEARABLES HOME ACCESSORIES \$7.9B +5.0% YoY	GROSS MARGIN 49.3% vs 47.1% year-ago	NET INCOME \$29.6B
DILUTED EPS \$2.01 +22% YoY	GREATER CHINA \$20.5B +28% YoY	CAPITAL RETURN Dividend +4% to \$0.27; new \$100B buyback	JUNE QUARTER GUIDANCE Revenue up 14-17% YoY

- AI / Product:** Apple positioned 2026 as its AI catch-up year. Management pointed to the Gemini-powered Siri rolling out in iOS 26.5 with a fuller conversational version targeted for iOS 27, leaning on the multiyear ~\$1B/year Google partnership while emphasizing on-device processing and Private Cloud Compute for privacy.

- **Demand:** Demand was the standout: Cook called iPhone 17 demand 'off the charts' and the 'most popular lineup in our history,' with iPhone setting a March-quarter record despite supply constraints on advanced TSMC nodes and the memory shortage. All five categories and all five geographies grew, with Greater China up 28%. June-quarter revenue is guided up 14–17%, but memory costs will be 'significantly higher' next quarter, a forward gross-margin headwind.

KEY RISKS & DEBATES

- ! **AI lag:** outsourcing core Siri to Google Gemini (~\$1B/year) and repeated delays raise questions about Apple's long-term model independence and differentiation.
- ! **Margin headwind:** management flagged 'significantly higher' memory costs as makers redirect capacity to AI chips.
- ! **Supply constraints:** iPhone 17 demand outran supply on tight TSMC advanced nodes and memory, leaving revenue on the table.
- ! **Geopolitics:** 50% US tariffs on India and a threatened 25% tariff on non-US iPhones pressure the China-diversification strategy.
- ! **Regulation:** EU DMA App Store fee restructurings (5% Core Technology Commission) plus a EUR500M fine threaten high-margin Services economics.
- ! **Leadership transition risk:** a new CEO (Ternus) takes over Sept 1, 2026.
- ! **Concentration:** iPhone is still ~51% of revenue; the AI super-cycle for hardware is unproven.

COMPARABLE COMPANIES

COMPANY	TICKER	TYPE	EV / REV LTM	REV GROWTH YoY	GROSS MARGIN	NOTE
Apple	AAPL	Subject	10.1x	16.6%	47.9%	Largest market cap of the trio; hardware+Services flywheel, slowest top-line growth, lowest gross margin
Microsoft	MSFT	Mega-cap peer	10.1x	18.3%	68.3%	Same EV/Rev as Apple but faster growth and far higher software gross margin
Alphabet	GOOGL	Mega-cap peer	4.9x	21.8%	60.4%	Cheapest of the trio on EV/Rev with the fastest growth; supplies Gemini for Apple's next-gen Siri

SOURCES: Public-ticker multiples pulled live from [yfinance](#) / [Yahoo Finance](#), as of the 2026-06-03 market close; EV/Rev recomputed from last close × shares + net debt.

PRIMARY FILINGS (SEC EDGAR)

10-Q	filed 2026-05-01 · period 2026-03-28	View on EDGAR >
8-K	filed 2026-04-30 · period 2026-04-30	View on EDGAR >
8-K	filed 2026-04-20 · period 2026-04-17	View on EDGAR >
10-Q	filed 2026-01-30 · period 2025-12-27	View on EDGAR >
10-K	filed 2025-10-31 · period 2025-09-27	View on EDGAR >
10-K	filed 2024-11-01 · period 2024-09-28	View on EDGAR >

SOURCE: SEC EDGAR · CIK 0000320193 · primary filings of record.

SLIDE-READY BULLETS

- 1

Apple FQ2'26: record March quarter, revenue \$111.2B (+17%), EPS \$2.01 (+22%), gross margin 49.3%, Services an all-time-record \$31B.
- 2

iPhone 17 demand 'off the charts'; Greater China rebounded +28%, easing the most-watched bear case, but supply and memory costs capped upside.
- 3

Historic succession: Tim Cook to Executive Chair, hardware chief John Ternus to CEO, effective Sept 1, 2026.
- 4

AI is outsourced: a ~\$1B/year Gemini deal powers the revamped Siri (iOS 26.5 / iOS 27), the clearest sign Apple's own models weren't ready.
- 5

Trades at 10.1x EV/Rev (2026-06-03 close), in line with MSFT and ~2x GOOGL, despite the lowest growth and gross margin of the trio.

SMART DILIGENCE QUESTIONS

- Q1

How much forward gross-margin compression do 'significantly higher' memory costs imply, and can mix shift to Services offset it?
- Q2

What is the strategic and financial risk of depending on Google Gemini for Siri, including renewal terms, switching cost, and antitrust optics?
- Q3

Under the India/non-US iPhone tariff scenarios, what is the landed-cost and margin impact, and how fast can assembly relocate?

SLIDE KIT

Logo, stats, and copy-paste artifacts

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COPY-PASTE STATS

\$111.2B (+17% YoY)

TOP 3 SLIDE BULLETS

- Apple FQ2'26: record March quarter, revenue \$111.2B (+17%), EPS \$2.01 (+22%), gross margin 49.3%, Services an all-time-record \$31B.
- iPhone 17 demand 'off the charts'; Greater China rebounded +28%, easing the most-watched bear case, but supply and memory costs capped upside.
- Historic succession: Tim Cook to Executive Chair, hardware chief John Ternus to CEO, effective Sept 1, 2026.

BRAND COLORS

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BRAND TAGS

- Consumer Electronics
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